

strategies can be used simultaneously, or you can switch from one strategy to another as it makes sense to you.

If you are just starting on the path to FI, you may benefit from house hacking, a concept introduced in Chapter 5. Remember, house hacking means buying a multi-unit house, living in one unit, and renting out the others. This allows you to reduce or eliminate your housing costs. If done well, you may even make a small profit. House hacking allows those with little or no money to obtain a real estate investment and have their shelter paid for by their tenants. At the same time, the money that you would otherwise pay for housing can be directed into index funds. This allows you to accelerate the path to FI by using both strategies in parallel.

You may already be on the path to FI with a high-paying career that enables maxing out all available tax-advantaged savings. You can direct other money into buying a property each year to start investing in real estate while providing an additional tax shelter. Another option is to start a side business while working a regular job, using sweat equity to produce an asset that can help you reach FI sooner.

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